



INSURANCE AND PENSIONS COMMISSION

☒ Insured
☐ Uninsured

LIFE ASSURANCE INDUSTRY REPORT

2nd Quarter ended 30 June 2019

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1. Executive Summary

- 1.1 As at 30 June 2019, the life assurance industry was made up of 11 direct life assurance companies, 5 composite reinsurance companies and 1425 life agents.
- 1.2 Gross premium written (GPW) by direct life assurance companies for the half year ended 30 June 2019 stood at ZWL252.18 million, a 26.08% increase from ZWL200.01 million reported for the half year ended in June 2018.
- 1.3 On the other hand, composite reinsurance companies' GPW grew by 60% from ZWL4.09 million reported for the half year ended 30 June 2018 to ZWL6.55 million for the half year to 30 June 2019.
- 1.4 The number of players compliant with the minimum capital requirement as at 30 June 2019 were nine (9) out of eleven (11) registered entities.
- 1.5 The life assurance sector registered a 73.31% increase in total assets from ZWL3.48 billion as at 31 March 2019 to ZWL6.04 billion as at 30 June 2019. This significant increase was mainly attributable to large unrealised gains on the Zimbabwe Stock Exchange in line with inflation trends.
- 1.6 Composite reassurers reported an asset base of ZWL77.72 million as at 30 June 2019, an increase of 50.97% from ZWL51.48 million reported as at 31 March 2019.
- 1.7 The average prescribed ratio for the life assurance industry as at 30 June 2019 stood at 13.61%, a decrease from 13.7% reported as at 31 March 2019.
- 1.8 Life reassurers reported an average prescribed asset ratio of 2.08% as at 30 June 2019 a decrease from 5.82% reported as at 31 March 2019.
- 1.9 In terms of compliance with the required prescribed asset ratio of 15%, only 1 direct life assurance was compliant while all composite reassurers were not compliant.
- 1.10 The life assurance sector reported profit after tax but before transfer to policyholders' funds of ZWL2.21 billion for the half year ended 30 June 2019 an increase of 1396% from ZWL147.58 million reported for the half year ended 30 June 2018.
- 1.11 The increase in profit after tax was due to a significant increase in fair value adjustments of equity holdings on the Zimbabwe Stock Exchange.

1.12 On the other hand, the composite reinsurance sector reported profit after tax of ZWL4.11 million for the half year ended 30 June 2019, a significant increase from a loss of ZWL349 000 reported for the comparative period in 2018.

1.13 Total claims incurred by the life assurance industry for the half year ended 30 June 2019 amounted to ZWL113.16 million, an increase of 11.91% from ZWL101.12 million reported for the comparable period in 2018.

1.14 Reassurers on the other hand reported total incurred claims of ZWL2.04 million for the half year ended 30 June 2019, an increase of 3.29% from ZWL1.98 million reported for the half year ended 2018.

1.15 A summary of key financial indicators and trends, see table 1 below:

Table 1: Financial Indicators

Life Assurers				Life Reinsurers		
Financial Aspect	Jun 2018 ZWL	Jun 2019 ZWL	Growth %	Jun 2018 ZWL	Jun 2019 ZWL	Growth %
GPW (ZWL000)	200,015	252,182	26.08%	4,091	6,545	60.00
NPW (ZWL000)	196,694	247,012	25.58%	35,33	5,874	65.33
Gross claims (ZWL000)	101,118	113,161	11.91%	1,975	2,040	3.29
Management expenses	45,113	72,175	59.99%	737	1,081	46.68
Commissions (ZWL000)	9,072	11,437	26.07%	1,171	1,276	8.97
Technical costs (ZWL000)	155,371	196,773	26.65%	3,883	4,397	13.24
Technical Profit	58,700	60,190	2.54%	-349	1,298	4,719
Profit after tax (ZWL000)	147,576	2,207,877	1396.09%	-371	4,109	12,075
	Mar 2019 ZWL	Jun 2019 ZWL	Growth	Mar 2019 ZWL	Jun 2019 ZWL	Growth
Total Assets (ZWL000)	3,485,386	6,040,639	73.31%	51,480	77,718	50.97
Total Liabilities (ZWL000)	2,865,093	5,042,719	76.01%	20,640	34,989	69.52
Capital (ZWL000)	620,293	997,920	60.88%	131,525	131,429	-0.07
Capital to liability ratio	22.05%	20%%	-2.26%	149.46%	122%	27.46
Prescribed assets (ZWL000)	477,442	822,577	72.29%	2,996	1,617	416.61
Prescribed assets ratio	13.7%	13.61%	-0.62%	5.82%	2.08%	-64.25



Section A: Life Assurance Industry

2. Performance in terms of Gross Premium Written

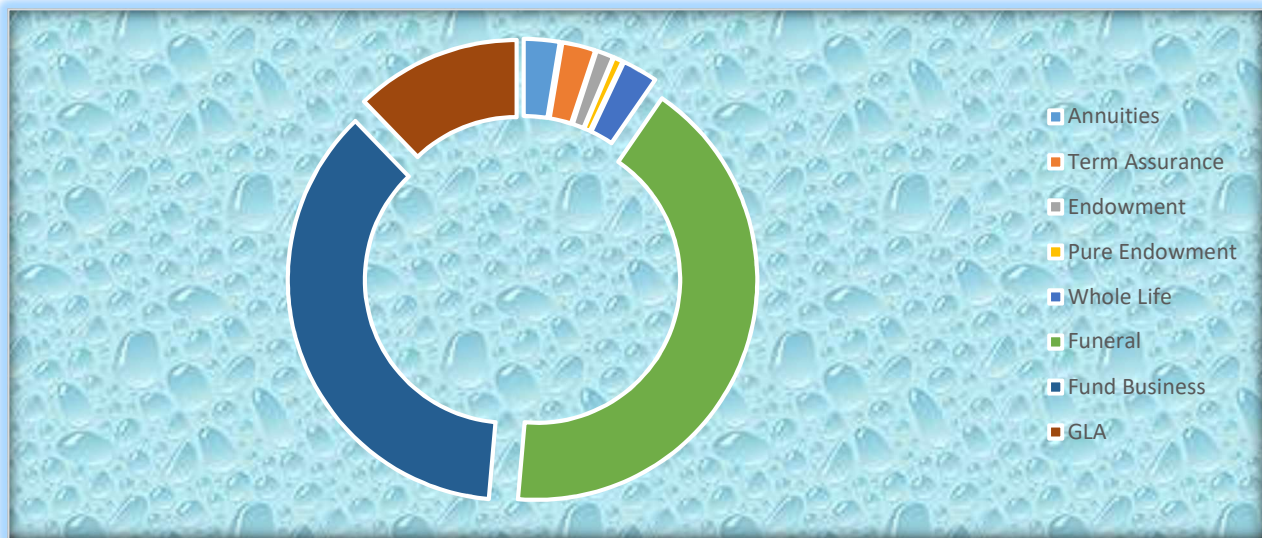
- 2.1 Gross Premium Written (GPW) by direct life assurers increased by 26.08% from ZWL200.02 million for the period ended 30 June 2018 to ZWL252.18 million for the period ended 30 June 2019.
- 2.2 Growth in GPW in the first half of 2019 was mainly driven by funeral assurance and fund business which increased by ZWL32.78 million and ZWL10.08 million respectively as compared to GPW written in the first half of 2018. This translates to 45.14% and 12.32% growth respectively.
- 2.3 Gross premium written for traditional life assurance products which includes endowment and whole life assurance experienced growth rates of 90.95% and 55.01% respectively. Pure endowment and term assurance experienced moderate growth of 3.22% and 5.91%, while annuities experienced negative growth of negative 33.76%.
- 2.4 The increase in GPW may be partly attributable to a general increase in premiums for most products as a result of the general price increases.
- 2.5 Confidence levels in the life assurance industry continues to be low as policies continue to lose value due to inflation.

Table 2 below shows the growth in GPW by class of business

Table 2: Business composition by product line

Type of product	June-18 ZWL(000)	June-19 ZWL(000)	Growth %
Annuities	10 000	6 624	-33.76%
Term Assurance	5 808	6 151	5.91%
Endowment	1 672	3 191	90.95%
Pure Endowment	1 676	1 730	3.22%
Whole Life	4 208	6 523	55.01%
Funeral	72 609	105 384	45.14%
Fund Business	81 750	91 825	12.32%
GLA	22 292	30 754	37.96%
Total	200 015	252 182	26.08%

Figure 1: Distribution of Business



**Other comprises of Endowment, pure endowment and group life assurance*

2.6 For the period ended 30 June 2019, 9 (nine) players recorded growth in premiums ranging from 1.89% to 130.91 % as compared to 30 June 2018. Of the remaining 2 players 1 (one) player recorded no growth while the other player recorded a negative growth of 1.82%. Table 3 below shows the breakdown and growth of GPW by industry players.

Table 2: Breakdown of business by company

Name of Company	GPW (ZWL 000)		Percentage Growth
	30 Jun 2018	30 Jun 2019	
1. CBZ Life	5,612	5,718	1.89%
2. Econet Life	7,913	18,272	130.91
3. Evolution Health and Life	298	426	42.95%
4. Fidelity Life	6,877	7,587	14.90%
5. First Mutual Life	20,036	26,551	32.52%
6. Getsure Life	1,155	1,134	-1.82%
7. Heritage Life	427	427	0%
8. Nyaradzo Life	50,906	67,508	32.61%
9. Old Mutual Life	87,608	97,670	11.49%
10.ZB Life	6,414	7,390	15.22%
11.Zimnat Life	12,765	19,184	50.29%
Total	200,015	252,182	26.08%

- 2.7 Most of the business for the life assurance industry came from recurring business which contributed 85.44% as compared to new business which contributed only 14.56%. (See appendix A5).
- 2.8 Recurring business as a source of GPW continues to be the mainstay for the industry a situation that may be attributed to the obtaining economic environment where disposable incomes have continued to shrink on the back of rising inflation and volatile exchange rates.
- 2.9 In terms of business mix corporate business continues to contribute more than individual life, contributing 56.53% as compared to 43.47% contributed by individual life. (See appendix A5). The bulk of corporate business is however fund business.
- 2.10 There is need for players to be innovative in their product offering so as to attract new business and to maintain the current business that is in their books.
- 2.11 In light of increasing inflation mainly driven by the volatility in the exchange rates, the Commission also implores players to consider adopting products with features that help to protect clients' benefit values in real terms.
- 2.12 For the half year to 30 June 2019, lapsed policies were 127,228 out of 2,194,161 lapsable policies, translating into a lapse ratio of 5.80%. This represents an increase of 0.7 percentage points as compared to 5.1% reported for the comparable period in 2018.
- 2.13 The number of not-taken-up policies for the half year to 30 June 2019 was 8,646, a decrease from 31,000 policies reported for the half year to 30 June 2018.
- 2.14 Premium on not-taken-up policies amounted to ZWL123,000 for the half year ended 30 June 2019 as compared to ZWL248,000 for the comparable period in 2018.
- 2.15 Players should endeavour to always have well trained staff that continuously engage and educate clients about their products so as to reduce mis-selling which usually results in not taken up and lapsed policies.

- 2.16 The Commission also urges all players who wrote foreign currency denominated policies before the demonetisation of all foreign currency policies to ring-fence the foreign currency earned during that period for payment of the related claims as and when they occur.

3. Capitalisation

- 3.1 The current level of minimum capital was set in United States dollars (USD) and since the demonetisation of the USD in June 2019 minimum capital requirements have not been adjusted in line with the current obtaining exchange rates.
- 3.2 This has resulted in the current level of required minimum capital in RTGS terms being less than one ninth of the desired level using the ruling interbank exchange rate of RTGS/USD 9.4 as at 7 August 2019.
- 3.3 Capital is critical for managing risk as it cushions the balance sheet of an assurance company when the markets are depressed. To that end the Commission is looking into the current levels of capital in a bid to enhance policyholders' protection.
- 3.4 A total of 9 life assurance players reported capital positions which were compliant with the minimum capital requirement of ZWL5 million as at 30 June 2019.
- 3.5 The Commission requested for recapitalisation plans from undercapitalised players which have since been received and the Commission will continue to closely monitor their progress towards recapitalisation.
- 3.6 The Commission has since received the recapitalisation plans from these two entities and will continue to closely monitor their progress towards recapitalisation.
- 3.7 Table 4 below shows the capitalisation levels of life assurance companies as at 30 June 2019.

Table 4: Trend in the Capital Position for life assurance companies

Company	2018 Q2 (USD '0000')	2018 Q3 (USD '0000')	2018 Q4 (USD '0000')	2019 Q1 (USD '0000')	2019 Q2 RTGS '000'
1. CBZ Life	18,853	19,817	21,192	21,000	57,421
2. Econet Life	13,466	15,668	23,812	24,031	41,092
3. Evolution Health & Life	3,186	3,202	3,175	6,190	5,823
4. Fidelity Life Assurance	6,666	3,999	2,955	2,508	4,379
5. First Mutual Life	82,097	74,691	76,643	85,466	83,547
6. Getsure Life Assurance	7,075	5,391	5,265	6,417	9,396
7. Heritage Life	690	713	706	786	712
8. Nyaradzo Life Assurance	15,931	17,192	19,426	9,165	15,185
9. Old Mutual Life Assurance	288,326	320,877	442,474	389,063	679,260
10. ZB Life Assurance	16,621	16,590	17,320	47,335	48,757
11. Zimnat Life Assurance	27,262	27,532	28,378	28,332	52,354

4. Asset quality

- 4.1 The asset base for the life assurance industry as at 30 June 2019 stood at ZWL6.04 billion as compared to ZWL3.49 billion reported as at 31 March 2019, representing a growth of 73.31%.
- 4.2 Growth in asset base was mainly driven by an increase of 63.67% in the value of equities from ZWL1.84 billion as at 31 March 2019 to ZWL3.01 billion as at 30 June 2019 and a growth of 112% in fixed property from ZWL757.9 million as at 31 March 2019 to ZWL1.61 billion as at 30 June 2019
- 4.3 Growth in equity values was driven by the depreciation in the value of the RTGS dollar from RTGS/USD2.5 when the parity between the USD and the RTGS dollar was removed to RTGS/USD9.4 as at 31 July 2019.
- 4.4 On the other hand growth in fixed properties is attributable to the revaluation of properties that were previously denominated in USD to reflect their new values in RTGS dollar.
- 4.5 As shown in figure 2 below, the asset base for life assurers continues to be concentrated in the above mentioned 2 asset classes which accounted for 76.5% of total assets.

Figure 2: Breakdown of assets

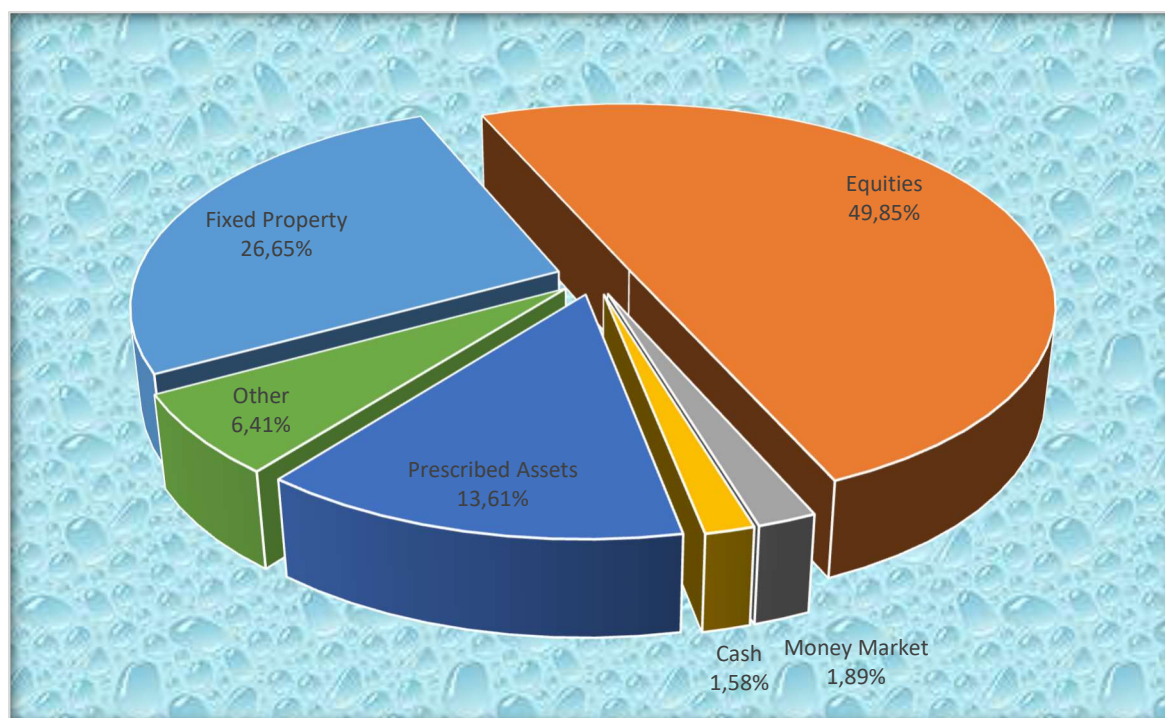


Table 5: Insurance Industry Asset Mix as at 30 June 2019

	Mar-19	Jun-19	Growth
Fixed Property	757 980	1 610 325	112,45%
Equities	1 840 331	3 012 155	63,67%
Money Market	147 750	114 192	-22,71%
Cash	62 584	95 570	52,71%
Prescribed Assets	477 441	822 577	72,29%
Other	199 303	385 820	93,58%
Total	3 485 389	6 040 639	73,31%

**Other investments below include plant and equipment, receivables and unquoted shares*

- 4.6 As at 30 June 2019 only one player was compliant with the required minimum prescribed asset ratio of 15% in the life assurance industry.
- 4.7 The total amount invested by the industry in prescribed assets was ZWL822.58 million and a further amount of at least ZWL100.1 million should be invested by non-compliant firms for them to be compliant with the minimum prescribed asset ratio.

Table 6: Life Assurers Prescribed Asset Ratio Status as at 30 June 2019

Company	PA Investments	Total assets	PA Ratio	Amount required to be compliant ZWL(000)
1. CBZ Life	3,875	65,038	5.96%	5,881
2. Econet Life	5,324	55,842	9.53%	3,052
3. Evolution Life	100	6,639	1.51%	896
4. Fidelity	19,941	150,629	13.24%	2,653
5. First Mutual	27,153	359,217	7.56%	26,730
6. Getsure Life	524	11,209	4.67%	1,157
7. Heritage Life	0	1,147	0%	172
8. Nyaradzo	8,183	156,570	5.23%	15,302
9. Old Mutual Life	738,871	4,815,241	15.34%	0
10. ZB	3,204	126,218	2.54%	15,729
11. Zimnat	15,402	292,889	5.26%	28,531
Total	822,577	6,040,639	13.62%	100,104

5. Reassurance

- 5.1 The life assurance industry reinsurance uptake was low, with premium worth ZWL5.17 million ceded to reinsurers out of a total premium of ZWL252.18 million written by the industry for the half year ended 30 June 2019. This translates to a reinsurance ratio of 2.05% (retention of 97.95%) (See appendix A1).
- 5.2 The low reinsurance ratio can be partly explained by significant fund business written by insurers which is not reinsured.
- 5.3 The Commission continues to urge industry players to be prudent and set retention levels that are in line with the strength of their balance sheets so as to minimise the risk of insolvency in times of stress.
- 5.4 In the same vein players should put in place robust risk management systems that enable them to effectively manage their risks and ensure safety of policyholders' funds.

6. Actuarial Matters

- 6.1 Technical liabilities for the life assurance industry amounted to ZWL4.43 billion as at 30 June 2019, supported by assets amounting to ZWL6.04 billion. The assets of the industry were therefore considered to be adequate to cover technical liabilities leaving an excess in assets of ZWL1.61 billion.
- 6.2 Future policyholder benefits continue to be the main component of technical liabilities, constituting ZWL4.42 billion, while unearned premium reserve, outstanding claims reserve and incurred but not reported claims reserve constituted the remainder of the liabilities (see appendix A2).
- 6.3 The Commission continues to encourage players to periodically review their reserving policies to make sure that they are in line with their claims experience.

7. Earnings

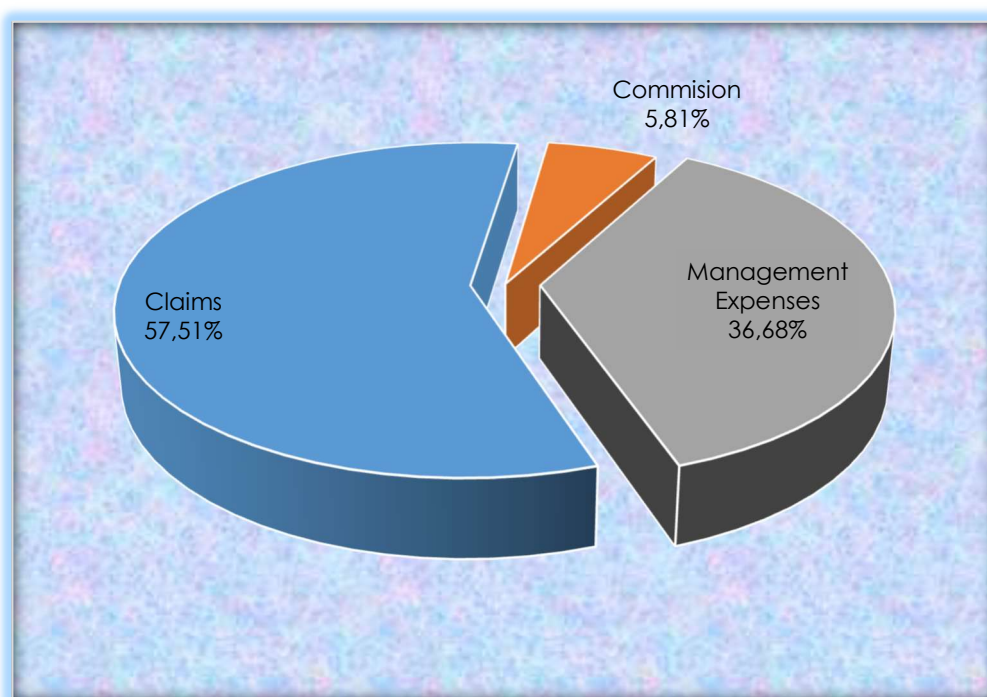
- 7.1 Net profit after tax for direct life assurers before transfers to policyholders' benefits reserves amounted to ZWL2.21 billion for the half year ended 30 June 2019, an increase of 1396.09% from net profit after tax of ZWL147.58 million reported for the half year ended 30 June 2018.
- 7.2 Profit after tax and after transfers to policyholder benefits amounted to ZWL299.82 million.
- 7.3 The increase in profit after tax but before transfer to policyholder funds was due to increases in fair value adjustments of equity holdings on the Zimbabwe Stock Exchange which were driven by inflation and depreciation of the local currency against the United States dollar.
- 7.4 Total technical profits amounted to ZWL60.19 million for the half year ended 30 June 2019 an increase of 2.55% from ZWL58.7 million reported for the half year ended 30 June 2018.
- 7.5 Average return on equity for the half year ended 30 June 2019 was 30.04% while return on assets for the same period was 4.96%, an indication of profitability in the industry.
- 7.6 Technical costs for the life assurance industry for the half year ended 30 June 2019 were dominated by claims, constituting 57.51% while

management expenses and commission constituted 36.68% and 5.81% respectively.

7.7 Net expense ratio for the life assurance industry was 29.22% while the combined ratio was 79.07% (See appendix A1).

7.8 Figure 3 below shows the breakdown of costs for the life assurance industry.

Figure 3: Costs breakdown



8. Claims Analysis

8.1 For the half year ended 30 June 2019, claims incurred for the life assurance industry amounted to ZWL113.16 million. Total outstanding claims as at 30 June 2019 amounted to ZWL1.6 million.

8.2 The Commission encourages players treat customers fairly by paying claims timeously.

9. Liquidity

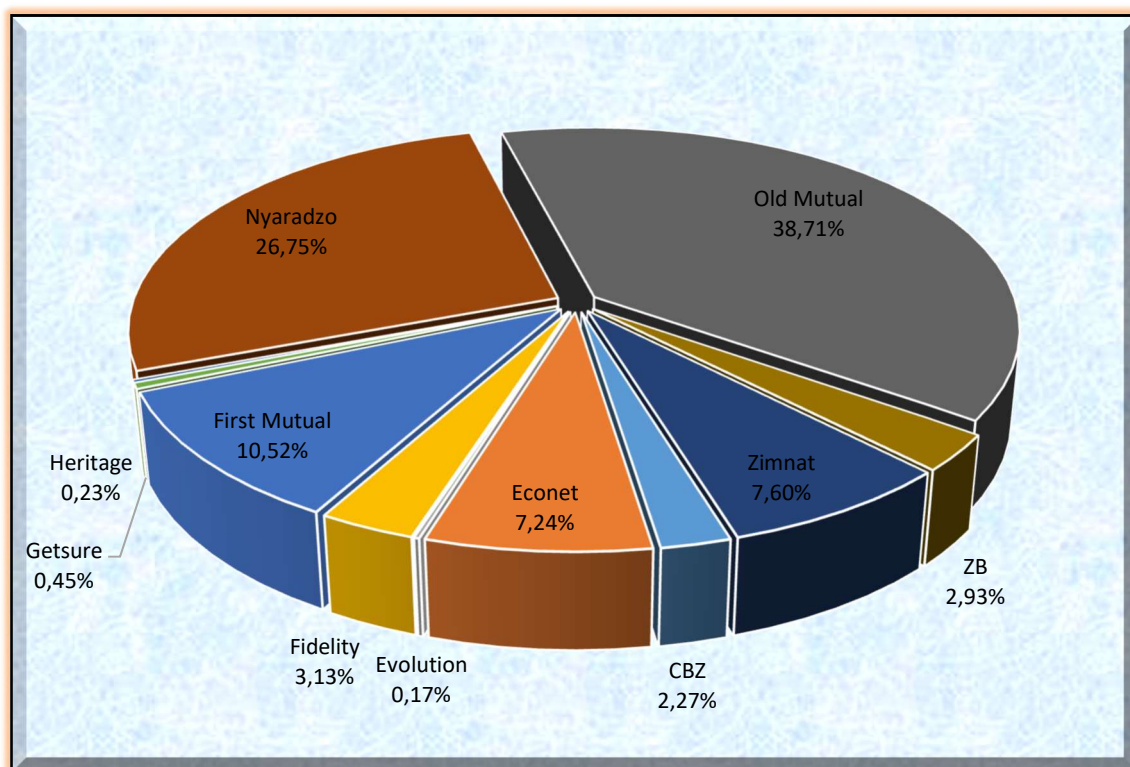
9.1 Liquid assets (cash, money markets and prescribed assets) for the life assurance industry amounted to ZWL1.03 billion, constituting 17.09% of the total asset base of ZWL6.04 billion as at 30 June 2019. Working capital amounted to ZWL293.2 million.

- 9.2 The average current ratio for the industry as at 30 June 2019 was 499.96% indicating adequate liquid assets to cover current liabilities (See appendix A7).
- 9.3 The timing of claims which forms the bulk of a life assurance company's liabilities is uncertain, hence it is critical for an insurance company to keep adequate liquid assets to cover these liabilities as they fall due.

10. Market Share

- 10.1 Market share in terms of GPW for the life assurance industry continue to be dominated by 3 companies with a combined market share of 75.98% while the rest of the companies shared the remaining 24.02% as at 30 June 2019 as shown in Figure 4 below.
- 10.2 The life assurance market continues to be concentrated as reflected by a relatively high Herfindal index of 2,432 in terms of GPW.

Figure 4: Market Share in terms of Business Written

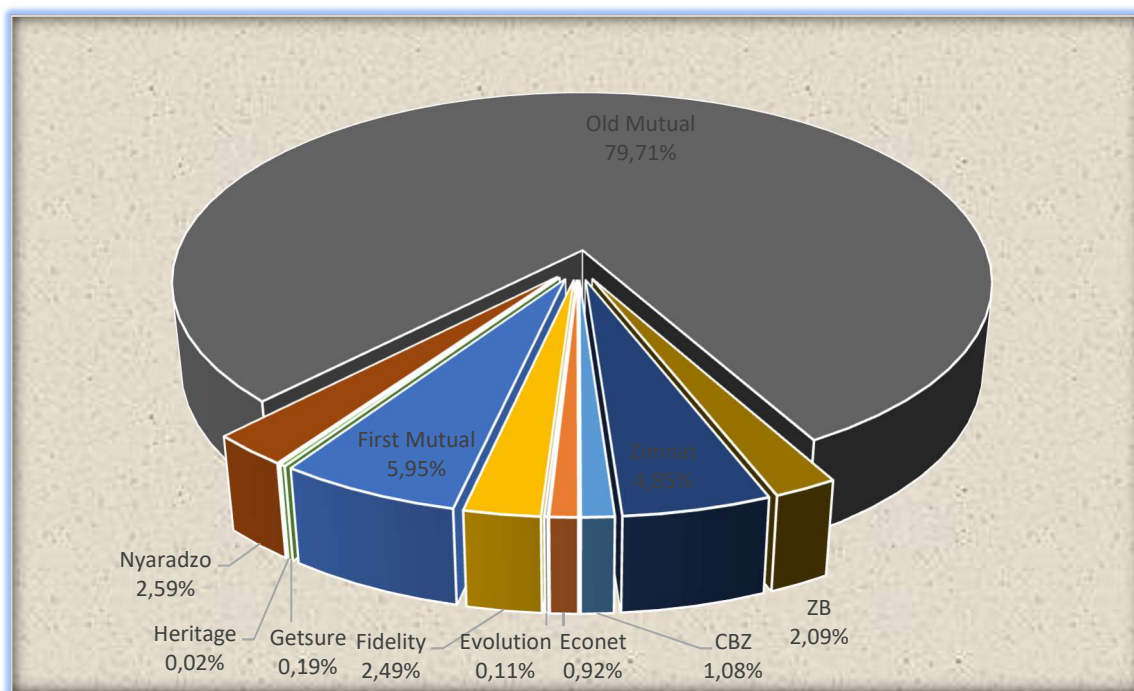


**Other comprises Evolution Life, Heritage Life and Getsure Life*

- 10.3 As shown in Figure 5 on the next page, the asset base of the life assurance industry was concentrated in 3 players who controlled 90.51% of the market as at 30 June 2019.

- 10.4 The remaining 8 life assurance players controlled 9.49% of the industry assets.
- 10.5 As at 30 June 2019 the Life assurance industry had a Herfindal index of 6,432 in terms of concentration of market share of assets. This indicates a high concentration of industry assets in a few players.

Figure 5: Market Share distribution in terms of total assets.



11. Complaints received

- 11.1 During the period under review, the Commission received 20 complaints, of which 16 were resolved.
- 11.2 Most of the complaints were to do with payment of low values owing to inflation and conversion from the Zimbabwe dollar to the United States dollar in 2009.
- 11.3 Policyholders complained that insurers told them that the value of their policies had been wiped off by hyperinflation despite some of them having paid premiums from the 1980s.
- 11.4 One of the finding and recommendation of the Commission of Inquiry into the Conversion of Insurance and Pension Values from Zimbabwe dollar to

United States dollar was that some policyholders and pension fund members were prejudiced. To that end, they should be compensated.

11.5 The Insurance and Pensions Commission had a stakeholder engagement workshop during the quarter under review, with insurance companies and pension funds to discuss the Commission of Inquiry Report.

11.6 The Commission requested insurance companies and pension funds to submit their compensation plans in line with the recommendation of the Commission of Inquiry as adopted by Government.

11.7 Whilst the Commission has received responses from some insurance companies, those who have not yet responded are encouraged to submit their compensation plans urgently to allow for conclusion of the issue.

Section B: Life Reassurance Industry

The statistics presented in this section of the report pertain to the composite reinsurers' life assurance business only except for the capital positions which comprises of both life and non-life business. Please note that the figures for Zep-Re contained in this report are only for the institution's Regional Hub Office located in Zimbabwe and not for the company as a regional institution. The Regional Hub Office writes business in Zimbabwe, Swaziland, Botswana, Namibia, and South Africa, among others. ZEP Reinsurance Company was formed under the auspices of COMESA and writes business in all COMESA member States. The Regional Hub Office is supported by the balance sheet of Zep-Re as a whole.

12. Performance in Terms of Business Written

- 12.1 Composite reinsurers reported an increase in Gross Premium Written (GPW) by 51.61% from ZWL4,317 million reported for the half year ending 30 June 2018 to ZWL6,545 million reported for the half year ending 30 June 2019.
- 12.2 Major contributors to this increase were Baobab Re and Zep Re with GPW increases of 119.67% and 56.61% respectively while the other two players recorded negative growth ranging from -2.32% to -20.11%.
- 12.3 Grand Re did not write any life reinsurance business for the period under review.
- 12.4 Recurring business was a major portion of GPW for the half year ended 30 June 2019, increasing from 44% for the half year ending 30 June 2018 to 65% for the current reporting period.
- 12.5 The decrease in new business as a proportion of GPW from 56% for the half year ended 30 June 2018 to 35% for the period under review, might be as a result of inflationary pressures, which have eroded the purchasing power of the disposable income of consumers.
- 12.6 On business breakdown by source, 90% of GPW came from corporate lines while the remaining 10% came from personal lines. Table 6 below shows the breakdown of premium by industry players.

Table 7: Breakdown of GPW

Name Of Company	June 2018 (000)	June 2019 (000)	Growth
	GPW	GPW	GPW%
Baobab Re	1,434	3,150	119.67%
FBC Re	731	584	-20.11%
FM RE	949	927	-2.32%
Grand Re	0	0	0.00%
Zep Re	1,203	1,884	56.61%
Total	4,317	6,545	51.61%

12.7 For the quarter ended 30 June 2019 the composite reinsurance industry retained 89.75% of the total life reinsurance business, and retroceding 10.25% which amounted to ZWL671 000.

13. Capitalisation

13.1 The minimum capital requirement for reinsurers, is ZWL7.5 million as stipulated in Statutory Instrument 95 of 2017.

13.2 In terms of capitalisation 3 (three) composite reinsurers were compliant with the minimum capital levels as at 30 June 2019. A total of 2 (two) players reported minimum capital requirements which are not compliant with the minimum capital levels. Of the 2 (two) one of the players is backed by the balance sheet of its parent company.

13.3 Compliance with the minimum capital levels is a statutory requirement. As such, all players should ensure that they are adequately capitalised.

13.4 Adequate capitalisation is important as it helps to protect policyholders and ensures industry stability.

Table 8: Capitalisation of Composite Reinsurers

Company	Sep-18	Dec-18	Mar-19	Jun-19
	ZWL(000)	ZWL(000)	ZWL(000)	ZWL(000)
1. Baobab Re	45,065	46,631	53,767	67,174
2. FBC Re	21,804	29,431	53,556	49,917
3. FM Re	10,042	12,001	8,330	11,521
4. Grand Re*	10,502	10,297	18,262	-101
5. Zep Re**	7,358	7,650	9,230	2,918
Total	94,771	106,010	143,145	131,429

**The capital levels in the table above include capital supporting non-life business*

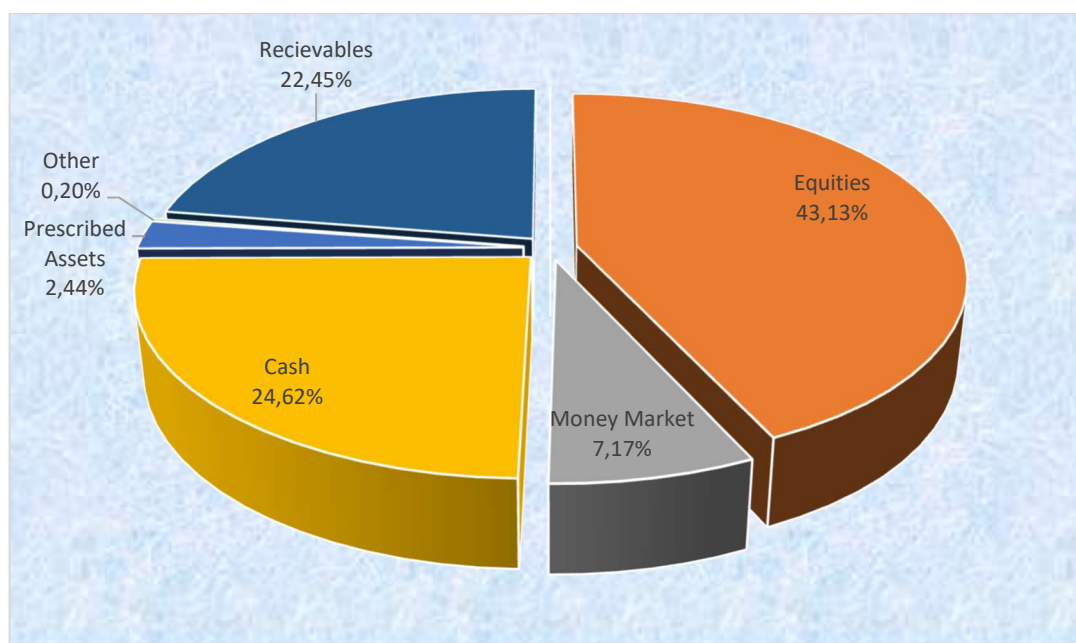
13.5 Zep Reinsurance company's capital position is also backed by its parent company based in Kenya, which reported capital of ZWL235.51 million.

14. Asset Quality

14.1 Composite reinsurers reported an asset base of ZWL77.72 million as at 30 June 2019 representing a significant growth of 50.97% from an asset base of ZWL51.48 million reported as at 31 March 2019.

- 14.2 The growth in asset base was driven by growth in cash balances and equity investments, recording growth rates of 180.00% (amounting to ZWL16.30 million) and 51.05% (amounting to ZWL28.60 million) respectively as at 30 June 2019 compared to figures reported as at 31 March 2019 respectively.
- 14.3 In monetary terms, growth in cash was more pronounced than growth in equity investments.
- 14.4 The asset base of composite reassurers was composed of 3 asset classes namely, equities, cash and premium receivables with asset shares of 43.13%; 24.62% and 22.45% respectively.
- 14.5 Cash continues to constitute a moderately large portion of the asset base increasing to 24.62% as at 30 June 2019 compared to 9.27% reported as at 31 May 2019.
- 14.6 Premium receivables at 22.45% of total assets, constitutes a large portion of asset base and players are encouraged to reduce premiums receivables as this may tie up much needed liquidity for payment of claims.
- 14.7 Industry players are encouraged to look for alternative investments that can preserve asset value in an inflationary environment in order to protect the underlying policyholder funds.

Figure 5: Breakdown of Assets.



*Other assets in figure 6 below consist of operating assets such as plant, property and equipment, motor vehicles, electronic equipment and prepayments, inventory and prepayments.

- 14.8 The Commission urges players to adopt optimal investment policies that are in line with Circular 2 of 2013 on Investment guidelines.
- 14.9 It is important for industry players to always be compliant with regulations as this ensures the protection of policyholder funds and thus increases public confidence in the insurance industry.
- 14.10 Assets supporting the life reinsurance business had an average prescribed asset ratio of 2.44% as at 30 June 2019.
- 14.11 None of the life reinsurers was compliant with the minimum required prescribed asset ratio of 15%. The prescribed asset ratios for all players ranged from 0% to 6.33% as at 30 June 2019.
- 14.12 Industry players are required to meet the prescribed asset ratio as it is a compliance issue.

Table 9: Prescribed Asset Ratio for Composite Reinsurers

Name of Company	Prescribed Assets	Total assets	Prescribed Assets Ratio	Amount required to be compliant	Variance in compliance
	ZWL(000)	ZWL(000)	%	ZWL(000)	%
Baobab Re	1,085	17,135	6.33%	2,570	8.67%
FBC Re	371	38,991	0.95%	5,849	14.05%
FM RE	161	5,025	3.20%	754	11.80%
Grand Re	-	23	0.95%	3	15.00%
Zep Re	-	5,025	0.00%	32	15.00%
Total	1,617	66,199	2.44%	9,208	12.37%

15. Actuarial Matters

- 15.1 The reinsurers' total asset base for the half year ended 30 June 2019 was ZWL77.72 million, a 50.97% increase from the half year ended 30 June 2018's total asset base of ZWL51.48 million.
- 15.2 Total asset base for the period ended 30 June 2019 is deemed adequate to cover the technical liabilities of ZWL3.95 million.
- 15.3 Technical liabilities as at 30 June 2019 comprised future policyholders' benefits, unearned premium reserve, outstanding claims reserve, incurred but not reported claims reserve and life fund reserves.

15.4 It is extremely important for industry players to have reserving policies, which should be periodically reviewed to make sure they have adequate reserves to meet their future liabilities.

16. Earnings

16.1 Profit after tax for life reassurers increased by 1005% from ZWL371,000 for the period ended 30 June 2018 to ZWL4.10 million for the period under review.

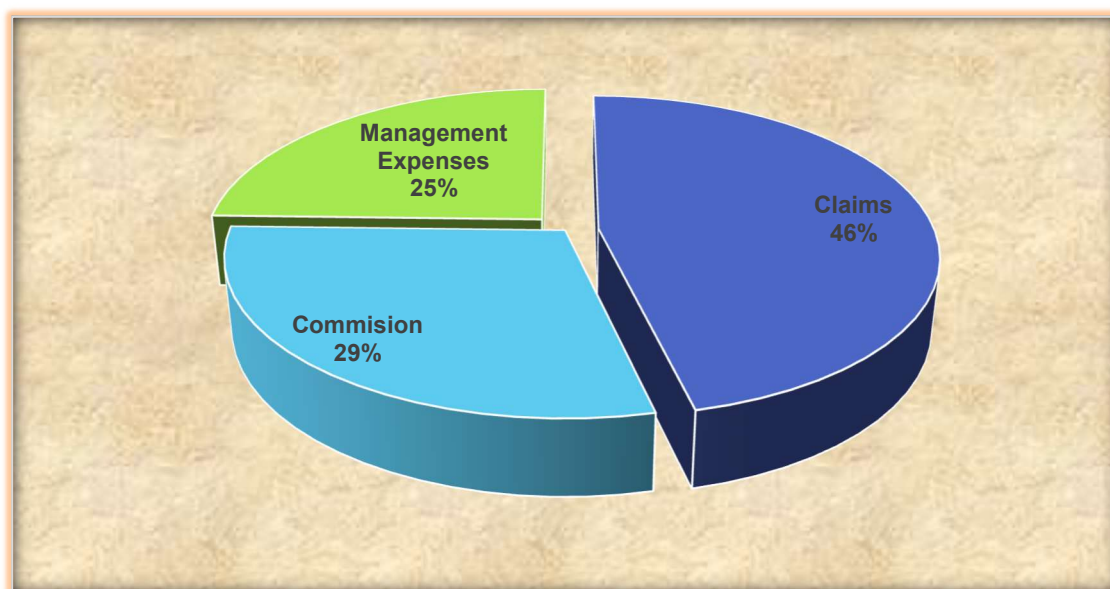
16.2 The increase in profit after tax was driven by an increase in fair value adjustments of equities on the Zimbabwe Stock Exchange.

16.3 Total costs for the composite reassurers for the half year ended 30 June 2019 increased by 50.69% from ZWL2.918 million for the half year ended 30 June 2018 to ZWL4,397.

16.4 In terms of contribution to total expenses, claims contributed 46%, commission 29% and management expenses 25%.

16.5 Figure 7 below shows the total cost breakdown.

Figure 6: Breakdown of Costs



17. Liquidity

17.1 The industry had above average level of liquid assets as evidenced by high portion of cash and cash equivalents at 30.46% of total assets. Industry

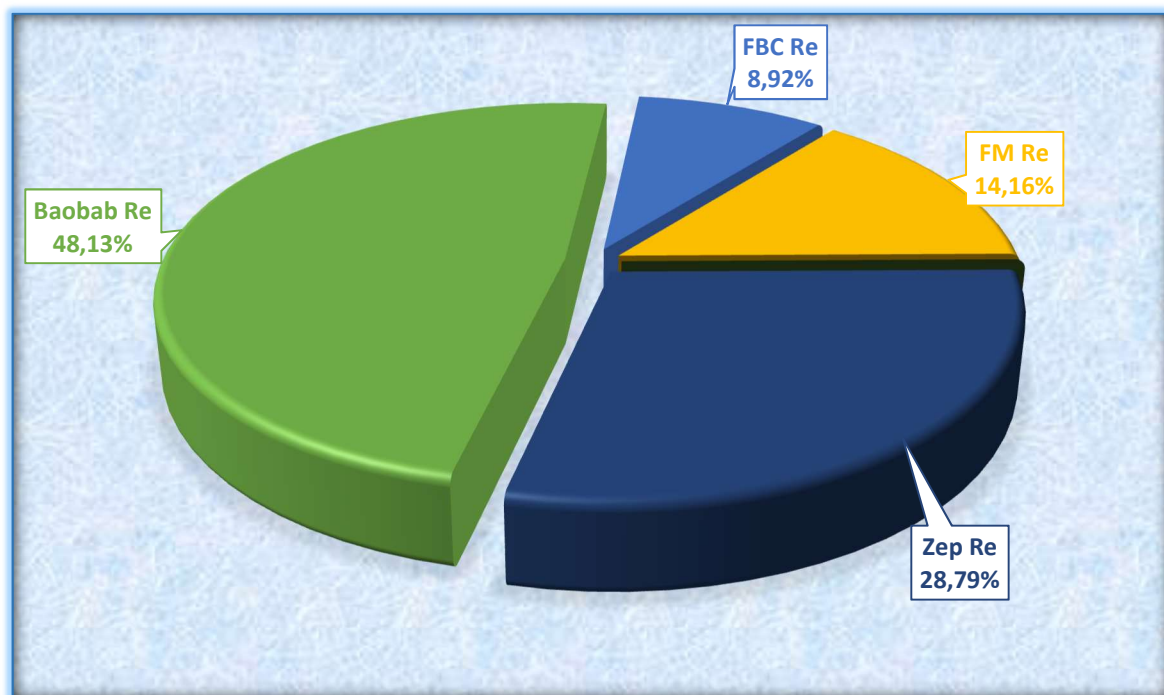
players are encouraged to maintain an optimum level of liquidity without impairing the ability of the policyholder funds to earn a rate of return that protects shareholders' funds against loss of value.

17.2 The total working capital for reinsurers supporting their reinsurance business was ZWL30.69 million as at 30 June 2019.

18. Market Share

18.1 Majority of the market share of composite reinsurers by GPW was dominated by two players which commanded 76.92% while the remaining players commanded 23.08%.

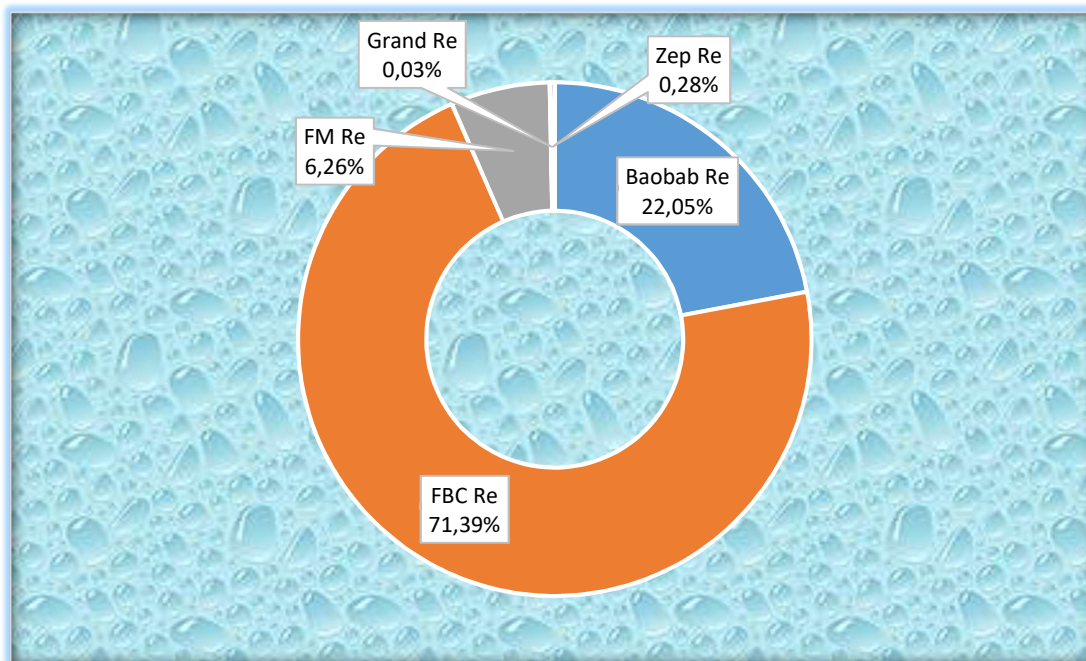
Figure 7: Market Share of Life Reinsurers by GPW



18.2 The total assets of ZWL77.72 million for the industry were dominated by two players with a combined market share of 93.44%.

18.3 The other three reinsurers, shared the remaining 6.56% assets.

Figure 8: Market Share in Terms of Assets





Appendix



APPENDIX A1. KEY PERFORMANCE INDICATORS FOR LIFE ASSURANCE COMPANIES

	CBZ Life	Econet	Evolution	Fidelity	First Mutual	Getsure	Heritage	Nyaradzo	Old Mutual	ZB	Zimnat	Total/ Average
Key Performance Indicator												
Capital Adequacy												
Capital Position (\$ 000)	57 421	41 092	5 823	4 379	83 547	9 396	712	15 185	679 260	48 751	52 354	997 920
Capital Coverage Ratio (CCR)	1148,42%	821,84%	116,46%	87,58%	1670,94%	187,92%	14,24%	303,70%	13585,20%	975,02%	1047,08%	1814,40%
Equity/Total Assets Ratio	88,29%	73,59%	87,72%	2,91%	23,26%	9,70%	62,07%	9,70%	14,11%	38,62%	17,88%	16,52%
Solvency Margin	753,95%	278,59%	714,48%	2,99%	30,31%	517,97%	163,68%	10,74%	16,42%	62,93%	21,77%	19,79%
Asset Quality												
Total Assets (\$ 000)	65 037	55 842	6 638	150 629	359 218	11 210	1 147	156 571	4 815 241	126 217	292 889	6 040 639
Investments to Total Assets	25,58%	61,29%	53,68%	16,86%	15,28%	8,98%	2,23%	84,83%	2,23%	84,83%	42,86%	8,10%
Non-Interest Generating Assets/Total Assets	85,92%	33,00%	99,80%	92,73%	92,69%	87,72%	97,79%	99,11%	97,79%	99,11%	88,98%	95,96%
Fixed Assets/Total Assets	85,21%	30,92%	89,97%	70,93%	89,89%	59,23%	63,91%	65,69%	96,74%	98,51%	84,51%	93,52%
Prescribed Assets Ratio	5,96%	9,53%	1,51%	13,24%	7,56%	4,67%	0,00%	5,23%	15,34%	2,54%	5,26%	13,62%
Premium Debtors/Gross Premium	4,25%	6,34%	11,03%	175,60%	28,07%	25,57%	65,57%	26,15%	48,05%	10,22%	57,50%	39,54%
Premium Debtors/Total Assets	0,37%	2,07%	0,71%	9,21%	2,07%	11,27%	24,41%	11,27%	0,97%	0,60%	3,77%	1,65%
Reinsurance												
Risk Retention Ratio	96,96%	98,77%	99,53%	96,01%	99,29%	100,00%	99,06%	100,00%	98,13%	94,13%	89,75%	97,95%
Actuarial												
Total Assets/Total Reserves	1185,72%	2484,07%	1215,75%	165,18%	143,22%	709,49%	1052,29%	118,69%	119,62%	182,56%	153,00%	136,34%
Earnings												
Profit After Tax and transfer to policyholder fu	21 254	12 756	-66	3 344	3 404	3 266	-3	2 787	220 755	1 195	31 125	299817
Return on Equity	37,01%	31,04%	-1,13%	76,36%	4,07%	34,76%	-0,42%	18,35%	32,50%	2,45%	59,45%	30,04%
Return on Assets	32,68%	22,84%	-0,99%	2,22%	0,95%	29,13%	-0,26%	1,78%	4,58%	0,95%	10,63%	4,96%
Loss Ratio	25,56%	43,33%	23,58%	43,44%	31,49%	15,65%	13,00%	44,98%	56,17%	37,23%	30,25%	45,81%
Net Commission Ratio	9,24%	0,00%	21,23%	5,73%	3,42%	9,65%	4,26%	7,29%	1,09%	16,17%	13,27%	4,63%
Net Expense Ratio	61,78%	4,09%	55,42%	45,16%	54,36%	68,06%	103,07%	30,39%	19,27%	61,29%	32,45%	29,22%
Combined Ratio	97,04%	41,56%	95,52%	94,33%	89,27%	89,54%	120,33%	82,66%	76,53%	114,69%	73,92%	79,07%
Investment Income/NPW Ratio	390,91%	72,31%	0,00%	324,05%	230,38%	0,00%	5,44%	1,17%	1943,76%	10,47%	835,96%	861,68%
Investment Income/Total Financial Assets	123,65%	34,88%	0,00%	72,80%	100,10%	0,00%	13,94%	3,48%	1140,88%	0,68%	104,79%	363,85%
Liquidity												
Working Capital	6 377	37 925	382	6 133	28 005	4 450	88	50 820	118 764	-3 436	43 690	293 198
Current ratio	344,45%	269,57%	360,00%	3525,68%	1797,08%	4008,77%	126,99%	1208,73%	3526,34%	482,31%	93,07%	499,96%
Liquid assets as a percentage of total assets	14,42%	67,00%	0,20%	7,27%	7,31%	5,20%	8,89%	12,28%	2,21%	0,89%	11,02%	4,04%
Market Shares												
Market Share Based on GPW	2,27%	7,25%	0,17%	3,13%	10,53%	0,45%	0,23%	26,77%	38,73%	2,93%	7,61%	100%
Market Share Based on NPW	2,24%	7,31%	0,17%	3,07%	10,67%	0,44%	0,17%	27,33%	38,80%	2,82%	6,97%	100%
Market Share Based on Total Assets	1,08%	0,92%	0,11%	2,49%	5,95%	0,19%	0,02%	2,59%	79,71%	2,09%	4,85%	100%



APPENDIX A2. STATEMENT OF COMPREHENSIVE INCOME FOR LIFE ASSURERS FOR THE PERIOD ENDED 30 JUNE 2019 (000)

	CBZ Life	Econet	Evolution	Fidelity	First Mutual	Getsure	Heritage	Nyaradzo	Old Mutual	ZB	Zimnat	Total
Gross Written Premiums	5 718	18 272	426	7 902	26 551	1 134	427	67 508	97 670	7 390	19 184	252 182
Reinsurance Premiums	174	224	2	315	188	35	4		1 828	434	1 966	5 170
Net Written Premiums	5 544	18 048	424	7 587	26 363	1 099	423	67 508	95 842	6 956	17 218	247 012
Increase/(Decrease) in UPR	256		4					12 553				12 813
Net Earned Premiums	5 288	18 048	420	7 587	26 363	1 099	423	54 955	95 842	6 956	17 218	234 199
Transfer to IBNR	-26	1 059	20			42					353	1 448
Claims paid	489	6 761	80	3 296	8 301	120	55	30 364	53 832	2 590	4 224	
Outstanding claims	954					10					632	1 596
Net claims	1 417	7 820	100	3 296	8 301	172	55	30 364	53 832	2 590	5 209	113 156
Net Commission Incurred	512	0	90	435	901	106	18	4 919	1 047	1 125	2 284	11 437
Technical Result	3 359	10 228	230	3 856	17 161	821	350	19 672	40 963	3 241	9 725	109 606
Operating Expenses	3 260	298	235	3 426	14 332		436		18 468	4 263	4 695	49 413
Underwriting Result	99	9 930	-5	430	2 829	821	-86	19 672	22 495	-1 022	5 030	60 193
Management expenses	165	441				748		20 516			892	22 762
Investment Income	21 672	13 051		24 586	60 736		23	791	186 293	728	143 936	212 846
Unrealised Gains/Losses												0
Other expenses	327	9 703	59	1 968	1 707		10	2 989				16 763
Other Income		78		8 423	12 034	3 193	70	6 284	24 745	11 192	22	66 041
Profit Before Tax	21 279	12 915	-64	31 471	73 892	3 266	-3	3 242	1 910 179	10 898	148 096	2 215 171
Taxation	25	159		880	1 522			455	3 991	427	19	7 294
Profit After Tax	21 254	12 756	-64	30 591	72 370	3 266	-3	2 787	1 906 188	10 471	148 077	2 207 877
Transfer to policyholders funds			2	27 247	68 966				1 685 433	9 276	116 952	1 907 876
Dividends												0
Retained Income	21 254	12 756	-66	3 344	3 404	3 266	-3	2 787	220 755	1 195	31 125	299 817



APPENDIX A3. STATEMENT OF FINANCIAL POSITION FOR LIFE ASSURERS AS AT 30 JUNE 2019 (000)

	CBZ Life	Econet	Evolution	Fidelity	First Mutual	Getsure	Heritage	Nyaradzo	Old Mutual	ZB	Zimnat	Total
ASSETS												
Non-Current Assets												
Intangible assets	177	549	108							1930	102	2866
Property and equipment	12187	5667	170	12395	12924	119	34	65858	6 354	2006	1 337	119051
Investment property	31484	5500	2031	54824	134889	2318	631	4321	1 217 349	8357	140 987	1602691
Investments and securities	8 149		3563	22816	27153	524	63	3514	56 636	36437	105 093	263 948
Investment assets	3 419	5553	100		140693	3 679		4739	3 292 668	5801		3 456 652
Investments in Associated Companies					7258				69805			77 063
Other Non-Current Assets				16 805			5	24423	85453			126 686
Total Non-Current Assets	55 416	17 269	5 972	106 840	322 917	6 640	733	102 855	4 658 460	124 336	247 519	5 648 957
Technical Assets												
Reinsurers' Share of O/S Claims												0
Deferred Acquisition Cost (DAC)	159											159
Total Technical Assets	159	0	0	0	0	0	0	0	0	0	0	159
Current Assets												
Cash & bank balances	892	3191	13	8 375	5 800	478	60	8687	55 957	301	11 823	95 577
Short term Investments	8268	34224		2579	20464	105	42	10 539	50697	825	20 441	148184
Other investments	218											218
Premium Receivables	243	1 158	47	13 876	7 453	290	280	17 653	46 929	755	11 030	99 714
Intercompany Investments												0
Other current assets	59		606	18959	2584	3697	32	16837	3198		2 076	48 048
Total Current Assets	9 462	38 573	666	43 789	36 301	4 570	414	53 716	156 781	1 881	45 370	391 523
TOTAL ASSETS	65 037	55 842	6 638	150 629	359 218	11 210	1 147	156 571	4 815 241	126 217	292 889	6 040 639
Liabilities												
Deferred Tax Liabilities			6	126	17372			2533	76883	3403		82825
Future policyholders benefits	2740		370	90141	249131	1580	109	130206	4021081	68746	190445	4415277
Short term loans					334							
Long term Loans				18327				1307			537	1844
Current Tax provisions			9									9
Gross Outstanding Claims	954		21	1 048	1 148	0			4446	390	632	8 639
IBNR	439	2031	80		538						353	3441
UPR	1 352	217	75					1 705				3349
Creditors		11854				114		2 739			47 520	62 227
Amount due to reinsurers	2	207		194							243	646
Other Liabilities	2 129	441	254	36414	7148	120	326	2896	33 571	4927	805	89031
Total Liabilities	7 616	14 750	815	146 250	275 671	1 814	435	141 386	4 135 981	77 466	240 535	5 042 719
SHAREHOLDERS' EQUITY												
Share Capital				1089		20	1680	400	132	232	200	3753
Share Premium	1 388	5 685	2 128	671	2 606	4 602			29 990	4432	450	51952
Revaluation & Other Reserves	16 073	2763	338	1667		3977	1164	6706	34659	38934	2 480	108761
Treasury shares				-10								-10
Prior years earnings	18 705	19887	3422	-2794	23687	797	-2129	5291	393724	4144	18 062	482796
Current year retained	21 255	12757	-65	3 756	2 402		-3	2 788	220 755	1 009	31 162	295816
Minority interest					54 852							54 852
Shareholders's Equity	57 421	41 092	5 823	4 379	83 547	9 396	712	15 185	679 260	48 751	52 354	997 920
TOTAL EQUITY & LIABILITIES	65 037	55 842	6 638	150 629	359 218	11 210	1 147	156 571	4 815 241	126 217	292 889	6 040 639



APPENDIX A4 GROSS WRITTEN PREMIUMS BREAKDOWN FOR LIFE ASSURERS

Co. Name	Individual Life (000)						Corporate Business (000)						Total Gross Premiums (000)		
	New Business			Recurring Premiums			New Business			Recurring Premiums					
	Jun-18	Jun-19	Growth (%)	Jun-18	Jun-19	Growth (%)	Jun-18	Jun-19	Growth (%)	Jun-18	Jun-19	Growth (%)	Jun-18	Jun-19	Growth (%)
CBZ Life	143	315	120,28%	3 876	3 733	-3,69%	866	1198	38,34%	727	472	-35,08%	5 612	5 718	1,89%
Econet Life	201	792	294,03%	7 443	17 209	131,21%	0	0	0,00%	269	271	0,74%	7 913	18 272	130,91%
Evolution Health and Life	5	30	500,00%	294	396	34,69%	0	0	0,00%	0	0	0,00%	299	426	42,47%
fidelity Life	75	272	262,67%	2331	2339	0,34%	14	0	-100,00%	4457	5291	18,71%	6 877	7 902	14,90%
First Mutual life	1118	776	-30,59%	9492	10523	10,86%	33	130	293,94%	9395	15122	60,96%	20 038	26 551	32,50%
Getsure Life	80	102	27,50%	753	770	2,26%	266	0	-100,00%	56	262	367,86%	1 155	1 134	-1,82%
Heritage Life	5	2	0,00%	423	419	-0,95%	0	0	#DIV/0!	0	6	0,00%	428	427	-0,23%
Nyaradzo Life	722	1 094	51,52%	35421	47829	35,03%	57	110	92,98%	14 706	18475	25,63%	50 906	67 508	32,61%
Old Mutual Life	2452	1 187	-51,59%	7808	10571	35,39%	29396	27075	-7,90%	47952	58837	22,70%	87 608	97 670	11,49%
ZB Life	118	41	-65,25%	2849	2823	-0,91%	135	3	-97,78%	3314	4523	36,48%	6 416	7 390	15,18%
Zimnat Life	1324	2 168	63,75%	3745	6549	74,87%	1035	1533	48,12%	6661	9663	45,07%	12 765	19 913	56,00%
TOTAL	6243	6 779	8,59%	74 435	103 161	38,59%	31802	30049	-5,51%	87 537	112 922	29,00%	200 017	252 911	26,44%



A5 ASSETS BREAKDOWN OF THE LIFE ASSURANCE INDUSTRY AS AT 30 JUNE 2019

	Fixed Property (000)			Equities (000)			Money Market (000)			Cash (000)			Other Investments (000)			Prescribed Assets(000)			Total Assets (000)		
	Mar-19	Jun-19	Var	Mar-19	Jun-19	Var	Mar-19	Jun-19	Var	Mar-19	Jun-19	Var	Mar-19	Jun-19	Var	Mar-19	Jun-19	var	Mar-19	Jun-19	Growth
CBZ	5 036	31 484	525%	4 617	8 149	100%	8 527	7 813	-8%	1 076	892	-17%	4 629	12 825	177%	4 078	3 875	-5%	27 963	65 038	132,59%
Econet	5 500	5 500	0%	16 752	33 047	97%	1 653	1 027	-38%	3 768	3 191	-15%	2 929	7 753	165%	5 326	5 324	0%	35 928	55 842	55,43%
Evolution	2 288	2 031	-11%	3 563	3 563	0%	-	-	0%	5	13	160%	750	932	24%	100	100	0%	6 706	6 639	-1,00%
fidelity	46 787	67 219	44%	35 492	39 274	11%	1 439	1 633	13%	3 482	8 375	141%	14 150	14 187	0%	21 598	19 941	-8%	122 948	150 629	22,51%
First Mutual	147 382	12 924	100%	73 233	140 693	92%	22 965	20 464	-11%	3 915	5 799	48%	13 320	152 184	1043%	26 520	27 153	2%	287 335	359 217	25,02%
Getsure	875	2 318	165%	-	-	0%	1 287	3 680	186%	144	477	231%	5 424	4 210	-22%	524	524	100%	8 254	11 209	35,80%
Heritage	20	34	70%	758	695	-8%	32	42	0%	97	56	-42%	264	320	21%	-	-	0%	1 171	1 147	-2,05%
Nyaradzo	83 602	90 281	8%	8 092	8 253	2%	5 752	2 356	-59%	10 275	8 687	-15%	32 485	38 810	19%	11 885	8 183	-31%	152 091	156 570	2,94%
Old Mutual	436 284	1 249 190	186%	1 634 370	2 677 599	64%	69 042	38 403	-44%	37 838	55 957	48%	35 662	55 221	55%	386 127	738 871	91%	2 599 323	4 815 241	85,25%
ZB	8 357	8 357	0%	25 121	36 437	45%	1 784	825	-54%	170	301	77%	73 671	77 094	5%	4 344	3 204	-26%	113 447	126 218	11,26%
Zimnat	21 849	140 987	545%	38 333	64 445	68%	35 269	37 949	8%	1 814	11 822	552%	16 019	22 284	39%	16 939	15 402	-9%	130 223	292 889	124,91%
Total	757 980	1 610 325	112%	1 840 331	3 012 155	63,67%	147 750	114 192	-23%	62 584	95 570	53%	199 303	385 820	94%	477 441	822 577	72%	3 485 389	6 040 639	73,31%



APPENDIX A6 COST AND EARNINGS ANALYSIS FOR THE LIFE ASSURANCE INDUSTRY

Co. Name	NPW (000)			Claims (000)			Commissions(000)			Management Expenses (000)			Total Costs(000)			Combined Ratio		
	Jun-18	Jun-19	Growth	Jun-18	Jun-19	Growth	Jun-18	Jun-19	Growth	Jun-18	Jun-19	Growth	Jun-18	Jun-19	Growth	Jun-18	Jun-19	Growth
CBZ	5404	5 544	2,59%	1582	1 443	100,00%	512	512	0,00%	1454	3425	135,56%	3548	5 380	51,63%	66,00%	97%	31,04%
Econet	7 548	18 048	139,11%	3 641	6 761	85,69%	0	0	0,00%	2 572	739	-71,27%	6 213	7 500	20,71%	82,00%	42%	-40,44%
Evolution	296	424	43,24%	33	80	142,42%	53	90	69,81%	167	235	40,72%	253	405	60,08%	85,00%	96%	10,52%
fidelity	6 719	7 587	12,92%	1642	3 296	100,73%	324	435	34,26%	2503	3426	36,88%	4469	7 157	60,15%	67,00%	94%	27,33%
First Mutual	19 815	26 363	33,05%	6846	8 301		847	901	6,38%	6718	14332	113,34%	14411	23 534	63,31%	73,00%	89%	16,27%
Getsure	1 143	1 099	-3,85%	221	130	-41,18%	139	106	-23,74%	683	748	9,52%	1 043	984	-5,66%	91,00%	90%	-1,46%
Heritage	421	423	0,48%	54	55	1,85%	25	18	-28,00%	403	436	8,19%	482	509	5,60%	114,00%	120%	6,33%
Nyaradzo	50906	67 508	32,61%	26717	30 364	13,65%	4158	4919	18,30%	16676	20516	23,03%	47551	55 799	17,35%	93,00%	83%	-10,34%
Old Mutual	86298	95 842	11,06%	53346	53 832	0,91%	968	1047	8,16%	8552	18468	115,95%	62866	73 347	16,67%	73,00%	77%	3,53%
ZB	6155	6 956	13,01%	2916	2 590	100,00%	937	1125	20,06%	2186	4263	95,01%	6039	7 978	32,11%	98,00%	115%	16,69%
Zimnat	11 989	17 218	43,61%	4188	4 856	15,95%	1109	2 284	105,95%	3199	5 587	74,65%	8496	12 727	49,80%	71,00%	74%	2,92%
Total	196 694	247 012	25,58%	101 186	111 708	10,40%	9 072	11 437	26,07%	45 113	72 175	59,99%	155 371	195 320	25,71%	83,00%	79,07%	-3,93%



APPENDIX B1. KEY PERFORMANCE INDICATORS FOR COMPOSITE REASSURERS

	Baobab Re	FBC Re	FM Re	Grand Re	Zep Re	Total/ Average
Key Performance Indicator						
Capital Adequacy						
Capital Position (\$ 000)	13 415	24 640	3 274	-50	1 612	42 891
Capital Coverage Ratio (CCR)	268,30%	492,80%	65,48%	-1,00%	32,24%	171,56%
Equity/Total Assets Ratio	78,29%	44,41%	64,00%	-242,86%	749,77%	54,98%
Solvency Margin	531,29%	102,75%	1503,86%	-5100,00%	193,75%	155,12%
Asset Quality						
Total Assets (\$ 000)	17 135	55 483	4 864	21	215	77 718
Investments to Total Assets	58,79%	39,65%	84,99%	0,00%	0,00%	46,61%
Non-Interest Generating Assets/Total Assets	85,98%	64,25%	70,83%	0,00%	0,00%	69,54%
Fixed Assets/Total Assets	0,00%	0,00%	0,00%	19,05%	0,00%	0,00%
Prescribed Assets Ratio	6,33%	0,95%	3,20%	0,00%	0,00%	2,63%
Premium Debtors/Gross Premium	212,95%	0,00%	0,00%	0,00%	4,41%	103,76%
Premium Debtors/Total Assets	39,15%	0,00%	0,00%	0,00%	38,60%	8,74%
Reinsurance						
Risk Retention Ratio	83,40%	100,00%	86,73%	0,00%	98,67%	89,75%
Actuarial						
Total Assets/Total Reserves	678,61%	100,00%	2349,76%	0,00%	25,84%	304,60%
Earnings						
Profit After Tax (000)	2725	222	329	0	833	4109
Return on Equity	20,31%	0,90%	10,57%	0,00%	51,67%	9,62%
Return on Assets	15,90%	0,40%	6,76%	0,00%	387,44%	5,29%
Loss Ratio	26,80%	15,75%	96,52%	0,00%	19,37%	28,52%
Net Commission Ratio	18,51%	23,63%	16,83%	0,00%	21,46%	19,50%
Net Expense Ratio	28,28%	9,93%	23,88%	0,00%	4,73%	18,40%
Combined Ratio	81,39%	49,32%	139,80%	N/A	45,56%	383,01%
Investment Income/NPW Ratio	0,00%	0,00%	0,00%	0,00%	0,00%	0,00%
Investment Income/Total Financial Assets	17,90%	0,01%	14,24%	0,00%	0,00%	4,73%
Liquidity						
Working Capital	7 930	20 160	213	-52	1 613	30 692
Current ratio	848,84%	87,93%	162,18%	23,29%	25,84%	115,83%
Liquid assets as a percentage of total assets	14,02%	35,75%	29,17%	80,95%	0,00%	30,46%
Market Shares						
Market Share Based on GPW	48,13%	8,92%	14,16%	0,00%	28,79%	100%
Market Share Based on NPW	44,72%	9,94%	13,69%	0,00%	31,65%	100%
Market Share Based on Total Assets	22,05%	71,39%	6,26%	0,03%	0,28%	100%



APPENDIX B2. STATEMENT OF COMPREHENSIVE INCOME FOR COMPOSITE REASSURERS FOR THE PERIOD ENDED 31 MARCH 2019 (000)						
	Baobab Re	FBC Re	FM Re	Grand Re	Zep Re	Total
Gross Written Premiums	3 150	584	927		1 884	6 545
Retrocessions Premiums	523	0	123		25	671
Net Written Premiums	2 627	584	804	0	1 859	5 874
Increase/(Decrease) in UPR	0	0			179	179
Net Earned Premiums	2 627	584	804	0	1 680	5 695
Transfer to IBNR	112	0	0		257	369
Outstanding claims	0	0	0		0	0
Claims recovered	-4	0	0		0	
Paid Claims	704	92	776		103	1675
Net claims	812	92	776	0	360	2 040
Net Commission Incurred	583	138	156		399	1276
Technical Result	1 232	354	-128	0	921	2 379
Operating Expenses	743	58	192		88	1081
Underwriting Result	489	296	-320	0	833	1298
Management expenses	0	0	0			0
Investment Income	1835	3	648			2486
Unrealised Gains/Losses	354	0	0			354
Other expenses	0	0	0			0
Other Income	47	0	1			48
Profit Before Tax	2 725	299	329	0	833	4 186
Taxation	0	77	0		0	77
Profit After Tax	2 725	222	329	0	833	4109
Transfer to policyholders funds	0	0	0		0	0
Dividends	0	0	0		0	0
Retained Income	2 725	222	329	0	833	4109



APPENDIX B3. STATEMENT OF FINANCIAL POSITION FOR COMPOSITE REASSURERS AS AT 30 June 2019 (000)						
	Baobab Re	FBC Re	FM Re	Grand Re	Zep Re	Total
ASSETS						
Non-Current Assets						
Intangible assets	0	0	0			0
Property plant and equipment	4	1039	8	4		
Investment property	0	0	0			
Investments and securities	7 850	17330	3132			28 312
Life reinsurance contracts assets	156	0	0			
Deferred tax	0	0	0			
Investment assets		550	0			550
Other Non-Current Assets		8965	0			8 965
Total Non-Current Assets	8 010	27 884	3 140	4	0	39 038
Technical Assets						
Reinsurers' Share of O/S Claims	0	0	0			0
Deferred Acquisition Cost (DAC)	0	0	0			0
Total Technical Assets	0	0	0	0	0	0
Current Assets						
Cash & cash equivalents	179	15714	417		0	16 310
Money Market Investments	2224	4119	1002	17	0	7362
Current Prescribed Assets	0	0	0			0
Premium Receivables	6 708	0	0		83	6 791
Intercompany Investments	0	0	0			0
Inventory and Other Debtors	14	7766	305		132	8 217
Total Current Assets	9 125	27 599	1 724	17	215	38 680
TOTAL ASSETS	17 135	55 483	4 864	21	215	77 718
Liabilities						
Deferred Tax Liabilities	0	-577	-3			-580
Future policyholders benefits	0	33	113			146
Short term provisions	495	23948	0			24443
Loans		0	0			0
Current Tax provisions		0	0			0
Gross Outstanding Claims		0	851	1	0	852
IBNR			94		292	386
UPR			0		540	540
Life fund	2 030		0			2030
Creditors		0	36			36
Amount due to retrocessions	615	0	578			1193
Other Creditors	580	7439	82	72	-2230	5943
Total Liabilities	3 720	30 843	1 751	73	-1 398	34989
SHAREHOLDERS' EQUITY						
Share Capital	488	800	1	14		1303
Share Premium	6 281	4 803	2 287			13371
Revaluation & Other Reserves		37				37
Retained earnings prior years	3 921	10197	496	-65	779	
Retained Profit	2 725	8359	329		833	12246
Others		444	0			444
Shareholders's Equity	13 415	24 640	3 113	-51	1 612	42 729
TOTAL EQUITY & LIABILITIES	17 135	55 483	4 864	22	214	77 718